Management Accounting

1.Explain in details branches of accounting.

1.Financial Accounting

Financial accounting is the traditional branch of accounting. It deals with recording all business transactions and preparing final accounts such as Trading Account, Profit and Loss Account, and Balance Sheet. Its main objective is to show the profit or loss of a business and its financial position at the end of an accounting period.

This branch mainly serves external users like owners, shareholders, investors, banks, creditors, government authorities, and the public. It is based on past transactions and strictly follows accounting principles, standards, and legal rules.

- ✓ It helps investors decide whether to buy, hold, or sell shares.
- ✓ It provides a basis for tax assessment and legal compliance.
- ✓ It helps compare the financial performance of a company over different years.

Eg:

A company prepares its annual Profit and Loss Account and Balance Sheet and submits them to banks for loans, ROC, and tax authorities to show its financial performance.

2.Cost Accounting

Cost accounting deals with finding out the cost of producing goods or services. It helps management understand how much is spent on materials, labour, and overheads and where costs can be reduced. This branch is mainly meant for internal use.

It classifies costs into direct and indirect costs, fixed and variable costs, and calculates cost per unit, cost per job, or cost per process. It is useful for price fixation, cost control, and improving efficiency.

- ✓ It helps identify avoidable and unavoidable costs.
- ✓ It assists management in choosing the most profitable product.
- ✓ It supports preparation of cost statements and cost reports.

Eg:

A factory producing biscuits calculates the cost of raw materials, wages, and electricity to find the cost per packet of biscuits and reduce wastage.

3.Management Accounting

Management accounting provides analysed information to management for planning, decision-making, and control. It uses data from financial and cost accounting but presents it in a way that helps managers plan for the future.
It is forward-looking and flexible in nature. There is no fixed format for reports. Tools like budgeting, ratio analysis, cash flow statements, marginal costing, and break-even analysis are commonly used.

- ✓ It helps in setting goals and performance targets.
- ✓ It improves coordination between departments.
- ✓ It supports quick decision-making during business uncertainty.

Eg:
Management prepares a monthly budget report comparing actual expenses with budgeted expenses and decides where to cut costs or increase production.

Other Specialised Branches of Accounting

Tax Accounting

Tax accounting deals with calculation of tax liability and compliance with tax laws such as Income-tax Act and GST Act. It ensures that the business pays the correct amount of tax and files returns on time.
This branch follows tax rules rather than accounting principles and helps in tax planning and avoiding penalties.

- ✓ It helps in proper tax planning and savings.
- ✓ It avoids legal penalties and interest charges.
- ✓ It ensures compliance with changing tax regulations.

Eg:
A business prepares its GST returns every month and income-tax returns every year using tax accounting records.

Auditing

Auditing involves the systematic examination of accounting records and financial statements to check whether they are accurate and show a true and fair view of the business.
Auditing can be internal (done by company employees) or external (done by an independent auditor). It helps detect errors, frauds, and non-compliance with laws.

- ✓ It increases confidence of shareholders and investors.
- ✓ It ensures proper use of business resources.

- ✓ It improves financial discipline and transparency.

Eg:
At the end of the financial year, a company appoints an external auditor to verify its accounts and issue an audit report.

Government Accounting

Government accounting is used by central, state, and local governments. It focuses on budget preparation, control of public funds, and accountability.

- ✓ Ensures proper use of public money.
- ✓ Helps in planning welfare schemes.
- ✓ Promotes transparency in government spending.

Eg:
Preparation of the Union Budget and recording government expenditure on roads, education, and healthcare.

Social Accounting

This branch measures the impact of business activities on society and environment. It reports on CSR activities, pollution control, and employee welfare.

- ✓ Improves the public image of the company.
- ✓ Encourages sustainable business practices.
- ✓ Helps meet CSR and environmental regulations.

Eg:
A company reporting money spent on tree plantation, waste management, and employee safety.

Human Resource Accounting

Human resource accounting attempts to measure the value of employees as assets of the organisation.

- ✓ Helps in better manpower planning.
- ✓ Highlights the importance of skilled employees.
- ✓ Supports decisions on training and development.

Eg:
A company estimating the cost of training employees and treating skilled employees as valuable resources.

Accounting has developed into different branches to meet the needs of various users. Financial accounting helps external users, cost accounting controls production costs, management accounting supports managerial decisions, tax accounting ensures legal compliance, and auditing ensures reliability of accounts. Together, these branches make accounting a complete system for effective business management.

2.Write a brief note on Installation of costing system.

Installation of Costing System

A costing system is introduced in an organisation to determine the cost of products or services, control unnecessary expenses, and improve overall efficiency. In modern business, management cannot rely only on financial accounts, as they show results only after work is completed. A costing system provides detailed and continuous cost information. Installing a costing system requires careful planning, study of business conditions, and cooperation from management and employees.

Meaning of Installation of Costing System

Installation of a costing system means setting up a systematic cost accounting framework suited to the organisation. It involves selecting appropriate costing methods, designing records and procedures, training staff, and integrating the system with existing accounts.
The system must match the nature, size, and objectives of the business. A poorly installed costing system may create confusion instead of helping management.

Eg:
A manufacturing company introduces cost sheets and cost centres to calculate cost per unit and identify waste.

Objectives of Installing a Costing System

Fixing Prices
One of the main objectives of installing a costing system is to fix correct selling prices. Without knowing the exact cost per unit, pricing decisions may result in losses or uncompetitive prices.
A costing system ensures that all costs—materials, labour, and overheads—are properly included while fixing prices.

Cost Control
Cost control is another important objective. A costing system helps identify areas of wastage, inefficiency, and excess spending.
By comparing actual costs with standard or budgeted costs, management can take corrective action.

Decision Making
Cost information is essential for managerial decisions. The costing system provides data needed for decisions such as make or buy, continue or shut down a product line, and select the most profitable product mix.
Such decisions cannot be taken accurately without reliable cost data.

Profitability Analysis
A costing system helps analyse the profitability of products, departments, or processes. Management can identify which areas generate profit and which result in losses.
This helps in resource allocation and future planning.

Steps in the Installation of a Costing System

***Step 1*: Preliminary Investigation**
Before installing the system, management must conduct a detailed study of the organisation. This includes understanding the nature of business, type of production, and flow of operations.
The existing financial accounting system should also be examined to ensure coordination between financial and cost accounts.

- ✓ Study the nature of business (manufacturing, service, or trading).
- ✓ Understand the production process and technical operations.
- ✓ Examine the existing financial accounting system.
- ✓ Identify current cost control problems and wastage areas.
- ✓ Decide whether the costing system can be integrated with existing records.

Eg:
Studying how raw materials move from stores to production and then to finished goods.

***Step 2*: Designing the Costing System**
After investigation, the system is carefully designed to suit the business needs. Selecting the right costing method is very important, as a wrong method can lead to incorrect cost information.
Cost classifications, cost centres, and cost units must be clearly defined. Necessary forms and records are designed to collect accurate data.

- ✓ Select a suitable costing method (job, process, batch, contract, etc.).
- ✓ Define cost centres and responsibility centres.
- ✓ Classify costs into material, labour, and overheads.
- ✓ Design forms and documents such as material requisition slips and time cards.
- ✓ Decide the frequency of cost reports (weekly, monthly, etc.).

***Step 3*: Trial Run [Pilot Project]**

The costing system should first be tested on a small scale. This helps identify practical difficulties without disturbing the entire organisation.

During the trial period, management can check whether employees understand the system and whether reports are useful.

- ✓ Implement the system in one department or product line only.
- ✓ Check whether employees can follow the procedures correctly.
- ✓ Identify errors, confusion, or practical difficulties.
- ✓ Test the accuracy and usefulness of cost reports.
- ✓ Make necessary changes and improvements before full adoption.

***Step 4*: Full Implementation**

Once the trial run is successful, the costing system is implemented across the organisation. Employees are trained, and all departments start following the new procedures.

Regular cost reports are prepared and reviewed by management to ensure the system works effectively.

- ✓ Extend the costing system to all departments.
- ✓ Provide training to staff at all levels.
- ✓ Ensure proper use of costing forms and records.
- ✓ Prepare regular cost reports for management review.
- ✓ Take corrective action based on cost analysis.

Factors to Consider Before Installation

Nature of Business

Different businesses require different costing systems. The system must suit the production process and industry type.

Size of Organisation

The costing system should match the size of the organisation. A complex system may not be suitable for small firms.

Organisational Structure
Clear authority and responsibility must be defined. A good costing system works best when responsibility centres are properly identified.

Cost–Benefit Relationship
The benefits of the costing system should be greater than the cost of installation and operation. Otherwise, the system becomes a burden.

Practical Difficulties in Installation

Resistance from Employees
Employees may resist change due to fear of increased workload or strict control. This resistance can slow down implementation.

Lack of Management Support
Without strong support from top management, the costing system may remain only on paper.

High Cost and Complexity
Installing a costing system involves expenditure on software, training, and staff. A complex system may also lead to confusion and errors.

Measures to Overcome These Difficulties

Simplicity
The system should be simple and easy to understand. Over-complication should be avoided.

Training and Education
Employees must be trained and informed about the benefits of the system to reduce fear and resistance.

Management Support
Top management must actively support, monitor, and encourage the use of the costing system.

Gradual Introduction
Introducing the system gradually helps employees adjust and ensures smoother implementation.

3.Explain briefly methods of re-apportionment.

Methods of Re-Apportionment of Service Department Overheads

In cost accounting, factory overheads are first allocated and apportioned to both production and service departments. However, service departments like maintenance, canteen, power house, etc., do not produce goods directly. Their costs must therefore be re-apportioned (secondary distribution) to production departments so that all overheads finally form part of production cost and can be absorbed into product cost.

Meaning of Re-Apportionment
Re-apportionment means redistributing the overheads of service departments to production departments on a suitable basis. After re-apportionment, no service department cost remains undistributed.

Eg:
Maintenance department cost is redistributed to production departments based on machine hours.

Methods of Re-Apportionment

1. Direct Re-Distribution Method

Under this method, the cost of each service department is directly transferred only to production departments.

Any services provided by one service department to another service department are ignored.

This method is simple and fast, and is suitable when service departments do not serve each other significantly.

Eg
Canteen cost is directly apportioned to production departments based on number of workers, ignoring services to maintenance.

Merits
- ✓ Very simple and easy to apply
- ✓ Saves time and effort

Limitation
- ✓ Inter-service usage is ignored
- ✓ Production departments may be slightly over- or under-charged

2. Step-Down (Sequential) Method

In this method, service departments are arranged in a sequence based on the extent of service they provide to other departments.

The service department that provides the maximum service is taken first and its overhead is distributed to all other departments (production + remaining service departments).

Once a service department's cost is distributed, it is closed and does not receive any further share.
This process continues until all service department costs are finally transferred to production departments.

Eg:
Power house cost is first distributed to maintenance and production departments.
Then maintenance cost (including power cost received) is distributed only to production departments.

Merits

- ✓ More accurate than direct method
- ✓ Partly recognises inter-service relationships

Demerits

- ✓ Order of distribution affects results
- ✓ Services given back to closed departments are ignored

3. Reciprocal Service Methods

Reciprocal service methods fully recognise that service departments may serve each other mutually.
For example, the canteen serves maintenance workers, and maintenance repairs canteen equipment.
These methods are the most accurate, especially when inter-departmental services are significant.

(a) Repeated Distribution Method

Under this method, service department costs are repeatedly apportioned to all other departments (including other service departments) in agreed percentages.
The redistribution is carried out round after round until the balance in service departments becomes negligible.

Merits

- ✓ Fairly accurate
- ✓ Easy to understand conceptually

Demerits

- ✓ Time-consuming
- ✓ Involves many repeated calculations

(b) Simultaneous Equation (Algebraic) Method

Under this method, algebraic equations are formed for each service department. Each equation shows the department's own overhead plus the share it receives from other service departments.

By solving these equations, the true total cost of each service department is obtained and then distributed to production departments in one step.

Merits

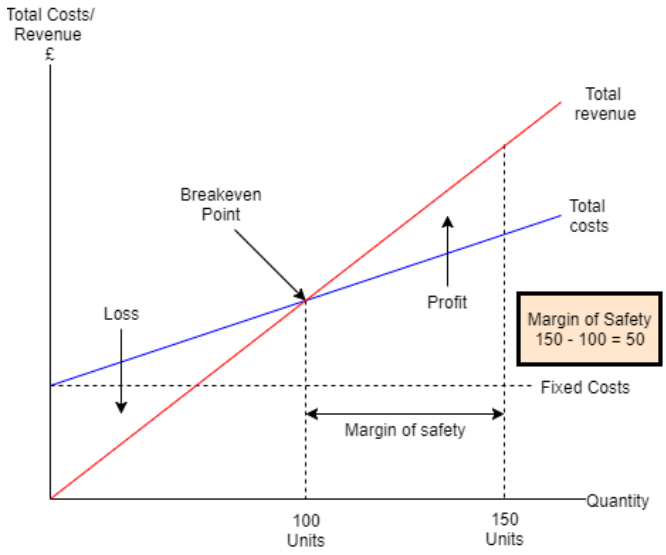
- ✓ Most scientific and fully accurate
- ✓ Suitable when computers are available

Demerits

- ✓ Difficult to understand
- ✓ Not suitable for small firms

4.Briefly explain significance of Break Even Chart.

Significance of Break-Even Chart



A Break-Even Chart is one of the most useful tools in business management. It proves the saying *"a picture is worth a thousand words."* Instead of going through

pages of calculations and accounting figures, a manager can understand the cost, sales, profit, and risk position of a business just by looking at one graph.
The chart clearly explains the relationship between Cost, Volume (Quantity), and Profit, and helps management take quick and practical decisions.

Break-Even Chart is a graphical representation that shows the relationship between costs, sales, and profits at different levels of output. It helps management understand the point at which total cost equals total sales, i.e., the break-even point where there is no profit and no loss. The break-even chart is an important tool of cost-volume-profit (CVP) analysis and is widely used for planning and decision making.

A break-even chart is a graphical representation of break-even analysis.

- **X-axis (Horizontal):** Shows quantity or level of output/sales
- **Y-axis (Vertical):** Shows costs and revenue in money terms
- **Total Cost Line:** Shows fixed cost plus variable cost
- **Sales (Revenue) Line:** Shows total revenue at different sales levels

The point where the Total Cost line intersects the Sales line is called the **Break-Even Point (BEP).**
At this point, total cost equals total revenue, so there is no profit and no loss.

Significance / Importance of Break-Even Chart

Easy to Understand (Visual Clarity)

The biggest advantage of the break-even chart is its simplicity. Even people who are not accountants like production managers or supervisors can understand it easily.
By just looking at the chart, management can know:

- ✓ Minimum sales needed to avoid loss
- ✓ Profit area and loss area
- ✓ Overall health of the business

It converts complex accounting data into simple straight lines.

Determines the Safety of the Business (Margin of Safety)

The chart clearly shows the Margin of Safety, which is the gap between:

- ✓ Actual sales, and
- ✓ Break-even sales
- ✓ A large margin of safety means the business is safe.
- ✓ A small margin of safety means the business is risky, as even a small fall in sales may lead to losses.

Thus, the chart helps management judge business risk.

Shows the Angle of Incidence (Speed of Profit)

The Angle of Incidence is the angle formed where the Sales line cuts the Total Cost line.

- **Wide angle:** Profit increases rapidly after BEP (good situation)
- **Narrow angle:** Profit increases slowly even after BEP (poor situation)

The break-even chart allows management to see profit-earning capacity visually.

Helps in Profit Planning at Different Sales Levels

Management often wants to know:

- ✓ What profit will we earn at 5,000 units?
- ✓ What happens if sales increase to 10,000 units?

With a break-even chart, this can be seen without repeated calculations.

The vertical distance between the Sales line and Cost line at any output level represents profit or loss.

Useful for Cost Control

The break-even chart clearly separates:

- ✓ **Fixed cost** (shown as horizontal line), and
- ✓ **Variable cost** (part of total cost line)

If the Total Cost line becomes steeper, it indicates an increase in variable cost.

This helps management identify:

- ✓ Whether costs are rising, and
- ✓ Where cost control measures are needed.

Helps in Decision Making

Break-even charts are useful for many managerial decisions, such as:

- ✓ Fixing selling price
- ✓ Accepting bulk or special orders
- ✓ Make-or-buy decisions
- ✓ Expansion or shutdown decisions

Management can see whether the decision keeps sales above the break-even point.

Comparison of Products or Alternatives

A company can prepare break-even charts for:

- ✓ Different products
- ✓ Different machines
- ✓ Different plants

The product with a lower break-even point is less risky. Thus, the chart helps compare risk and profitability easily.

Helps in Capacity Utilisation

The chart shows whether the firm is operating:

- ✓ Below break-even level (loss), or
- ✓ Above break-even level (profit)

It helps management understand idle capacity and plan production better.

Limitations of Break-Even Chart

To give a complete answer, limitations must also be mentioned:

- It assumes selling price remains constant, which may not be true in reality.
- It assumes costs behave linearly, but actual costs may change suddenly.
- It gives a static picture changes in market conditions require a new chart.

Despite its limitations, the break-even chart is a powerful and practical managerial tool. It acts like a dashboard for the business. Just as a speedometer tells a driver how safe the car is, the break-even chart tells management how safe the business is and how fast profits are growing. It bridges the gap between accounting data and real-world decision making.

5.What are the essentials of Budgeting and Budgetary Control?

Essentials of Budgeting and Budgetary Control

Budgeting means preparing a detailed plan of income and expenditure for a future period and using it as a guide for action.

Budgetary control means continuously comparing actual results with budgeted figures, finding variances, and taking corrective action so that organisational goals are achieved.
Together, budgeting and budgetary control help management in planning, coordination, control, and performance evaluation

Essentials of a Good Budgeting and Budgetary Control System

Clear Objectives

The organisation must clearly define its overall objectives such as sales growth, production targets, profit levels, or cost reduction.
Every departmental budget should support these common goals so that efforts are not scattered.
Clear objectives give direction to budgeting and make performance evaluation meaningful.

Support from Top Management

Budgeting can succeed only if it has full support from top management. Senior managers must approve budgets, participate in target setting, and insist that budgets are followed.

When top management treats budgeting seriously, lower-level managers and employees also cooperate willingly.

Sound Organisation and Clear Responsibilities

Duties and responsibilities should be clearly defined. It must be decided:

- ✓ Who prepares each budget (sales, production, purchase, labour)
- ✓ Who approves it
- ✓ Who is responsible for variances

A budget committee is often formed to coordinate budgets of different departments and ensure consistency.

Realistic but Challenging Targets

Budgets should be based on careful estimates of demand, production capacity, and costs.

They should be realistic, yet challenging enough to motivate employees.
Very easy targets reduce effort, while impossible targets create frustration and resistance.

Adequate Accounting and Information System

An efficient accounting and reporting system is essential for budgetary control.

Accurate and timely data on costs, sales, and production are required both for preparing budgets and for comparing actual results.
Without reliable information, budgets lose their value as a control tool.

Effective Communication and Participation

Budget figures should be communicated clearly and on time to all concerned departments.

Employees should be encouraged to participate in preparing their own budgets.
Participation increases acceptance, improves accuracy, and creates a sense of responsibility to achieve budget targets.

Flexibility

A good budgeting system should be flexible enough to allow changes when major events occur, such as:

- ✓ Price fluctuations
- ✓ New competitors
- ✓ Strikes or natural calamities

Rigid budgets that cannot be revised become unrealistic and ineffective.

Regular Comparison and Variance Analysis

Actual performance must be compared with budgeted figures at regular intervals (monthly or quarterly).

Significant variances should be analysed to find reasons and fix responsibility.

This helps management take timely corrective action and improve future performance.

Cost–Benefit Balance

The budgeting system should be simple and economical.

The benefits obtained from better planning and control should be greater than the cost of preparing and operating budgets.

An overly complex system may waste time and money, especially in small organisations.

Budgeting and budgetary control are powerful tools for effective management, but their success depends on certain essential conditions. Clear objectives, top management support, realistic targets, employee participation, reliable information, flexibility, and timely corrective action are the key essentials. When these conditions are fulfilled, budgeting becomes an effective system for planning, coordination, cost control, and achievement of organisational goals.